Good News and Subsequent Financial Reporting Problems

| | Financial restatement | Earnings adjustment | Downward earnings | Financial violation | Restatement or violation |
|---|---|---|---|---|---|
| Big4 ($N = 659$) | 9 (1.370%) | 3 (0.460%) | 1 (0.150%) | 1 (0.150%) | 10 (1.520%) |
| Local 8 ($N = 2,489$) | 127 (5.100%) | 52 (2.090%) | 36 (1.450%) | 41 (1.650%) | 154 (6.190%) |
| Other ($N = 1,623$) | 105 (6.470%) | 42 (2.590%) | 30 (1.850%) | 29 (1.790%) | 127 (7.830%) |
| Non-Big4 ($N = 4,112$) | 232 (5.640%) | 94 (2.290%) | 66 (1.610%) | 70 (1.700%) | 281 (6.830%) |

| Incomplete amount / direction information | Big4 | Non-Big4 |
|---|---|---|
| Declared earnings change, amount unavailable | 2 | 15 |
| At least one restatement with unknown earnings direction | 6 | 143 |

*Notes:* Counts and percentages of firm-year annual announcements. Baseline good news is original-information $ES > 0.10$; fiscal years 2001–2021; three-year follow-up after the annual announcement. The inherited good-news cohort requires complete returns over $[-5, +5]$ (4,771 announcements). Problems must concern the baseline fiscal year. The first three outcomes narrow from financial restatement to earnings adjustment to downward earnings adjustment. Annual consolidated-profit amounts take priority; explicit single-year declarations supplement missing amounts. Financial violations are separate; the last column is their deduplicated union with financial restatements. Non-Big4 combines Local 8 and Other. Missing amount or unknown direction is reported separately, not coded as no adjustment; categories may overlap across notices for the same firm-year. No recorded problem is not a verified absence of error. These are unadjusted descriptive comparisons.